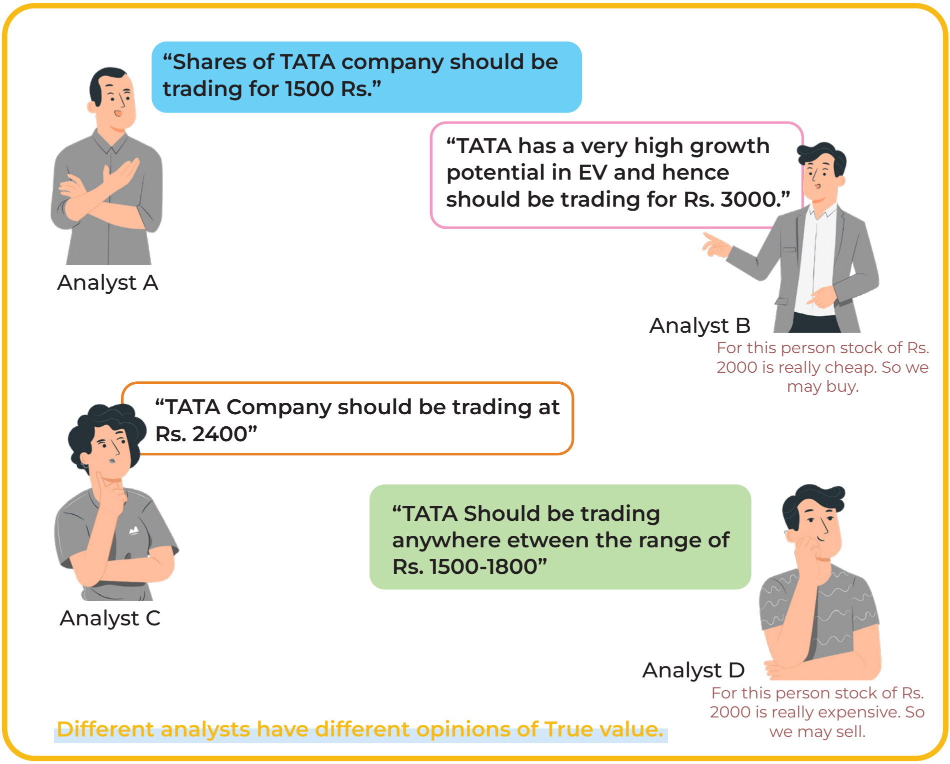
If there are 4 analysts: Each of them can have different true value estimate that they believe for the company.

An analyst must understand a company's basic fundamentals and conduct a detailed research to estimate the true value for themselves. It is a highly subjective interpretation.



As a result, true value varies depending upon how each individual perceives the company. As previously mentioned, it does not have to be an exact value, and can be a range as well.

Now lets understand how true value and market value are linked together. Market value is the sum of true value and the sentimental value associated with the stock.